BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

In the Matter of

Consolidated Edison Company of New York, Inc.

Cases 25-E-0072 and 25-G-0073

June 2025

Prepared Rebuttal Testimony of:
Staff Markets and Innovation
Panel

Robert Cully
Policy Analyst 5

Nicole Sallese
Policy Analyst 2

Randy Monica, Jr.
Policy Analyst 2

Daniel Foley
Policy Analyst 1

Arturo Lua Castillo
Policy Analyst 1
Office of Markets and Innovation

State of New York
Department of Public Service
Three Empire State Plaza
Albany, New York 12223-1350

Q. Members of the Staff Markets and Innovation Panel (Panel), please state your names, employer, and business address.

A. Our names are Robert Cully, Nicole Sallese, Randy Monica, Jr., Daniel Foley, and Arturo Lua Castillo. We are employed by the New York State Department of Public Service (Department). Our business address is Three Empire State Plaza, Albany, New York, 12223.

Q. Has the Panel previously sponsored testimony in these proceedings?

A. Yes. We sponsored pre-filed direct testimony, submitted on May 30, 2025. Our pre-filed direct testimony addressed (1) Consolidated Edison Company of New York, Inc.'s (Con Edison or the Company) proposals related to its energy efficiency and building electrification (EE/BE) portfolios; (2) adjustments to the Company's proposed revenue requirement model necessitated by our recommendations pertaining to the Company's EE/BE portfolios; (3) the Company's proposals related to new strategic projects; (4) the Company's proposals related to its Customer Analytics and Reporting Engagement Program; (5)

the Company's proposals related to its Clean Energy Support project; (6) the Company's proposals related to the New York Cap-and-Invest initiative; (7) the Company's proposals related to electric vehicle (EV) Charging Expansion Program; and (8) the Company's proposals related to eight earnings adjustment mechanisms.

Q. What is the purpose of the Panel's rebuttal testimony?

A. The purpose of our testimony is to address two issues. First, we will address recommendations regarding heat pump rate design made by Environmental Defense Fund (EDF) Witness Ron Nelson and Alliance for a Green Economy (AGREE) Witness Alexander Lopez. Second, we will address recommendations regarding electric vehicle (EV) charging rate design made by Electrify America Witness Jigar Shah and City of New York (City) Witness Michele Chait.

COMMON THEMES

Q. Is there a common theme throughout the Panel's rebuttal testimony and response to intervenor recommendations?

A. Yes. As discussed in greater detail below, our responses to each of the issues above amount to the same thing: the Commission should reject the intervenors requests in these individual rate case proceedings, and the intervenors should instead seek to implement their recommendations through statewide policy proceedings which the Commission has already initiated.

Q. Please explain why participating in the statewide proceedings are preferable than implementing the requested changes piecemeal in individual utility rate proceedings.

A. The modifications requested by the intervenors mentioned above amount to significant changes in State policy, which the Commission should carefully consider in the statewide context. Statewide proceedings can also be more efficient and effective at implementing similar policies statewide than having to engage in each individual utility rate proceedings for the six major investor-owned electric utilities, or more for the gas utilities.

Q. How are statewide proceedings more efficient and effective than individual utility rate proceedings for implementing statewide policies?

A. If, for the sake of argument, the Commission were to agree with some or all of the intervenors recommendations made in this proceeding, as part of a statewide proceeding the Commission could direct each of the utilities to implement those recommendations – such as new rate design options for heat pumps – simultaneously. This potentially saves time for Department Staff and utilities – which customers ultimately pay for – as well as intervenor time and effort. Further, to the extent that consistency among similar programs statewide is generally beneficial, using individual utility rate proceedings as the venue for developing and adopting similar programs would certainly result in similar programs starting at different times at different utilities, depending on when such utilities file for new base delivery rates, and may result in other programmatic inconsistencies.

Q. Do the intervenors request modifications which are unique to Con Edison, which might make sense to address in a utility-specific proceeding?

A. No. Rate design considerations to encourage heat pump adoption and EV charging are not unique to Con Edison, as all other major electric investor-owned utilities operate EE/BE and EV charging programs, and significant adoption of both heating electrification and transportation electrification are needed in all of the major electric investor-owned utility service territories throughout New York State.

Q. Can the Panel provide an example of an issue that is well positioned to be considered in a utility-specific proceeding?

A. Yes. Although this Panel offers no opinion on the merits or substance of the issue, the specifics of Con Edison's electric tariff regarding designation of curbside charging facilities as temporary structures as discussed in the direct testimony of City Witness Chait is a topic that is ripe for consideration in a Con Edison-specific proceeding. This topic addresses a Con Edison-specific issue which is

not addressed in an existing statewide EV charging rates proceeding, Case 22-E-0236. This issue contrasts against intervenor recommendations to develop a new rate option to accelerate heat pump adoption, for example, where the Commission has already indicated that it would consider the need for new rate design options for a variety of technologies as part of Case 24-E-0165.

HEAT PUMP RATE DESIGN

Q. Please summarize the testimonial positions of EDF Witness Nelson regarding heat pump rate design.

A. As shown on page 19 of his direct testimony, Witness Nelson recommends that the Commission approve two new rate design options for SC 1 – Residential customers, which would be in addition to and complimentary with the bevy of existing rate options that SC 1 customers can already choose from.

Q. What is the first new rate option recommended by Witness Nelson?

A. The first new rate option recommended by Witness Nelson is the "Seasonal Heat Pump Rate," which

would include different flat volumetric charges applicable to the summer and winter periods. Under the Seasonal Heat Pump Rate, the dollar-per-kilowatt-hour ($/kWh) volumetric charge would be lower in the winter period and higher in the summer period.

Q. What is the second new rate option recommended by Witness Nelson?

A. The second new rate option recommended by Witness Nelson is the "Heat Pump Time of Use (TOU) Rate," seasonally different volumetric $/kWh rates depending on the time of day. Under Witness Nelson's recommended structure, the Heat Pump TOU Rate would include a six-hour peak period from 2 P.M. to 8 P.M. every day, during which volumetric charges would be higher than the applicable off-peak volumetric charges during the same season. As shown on page 1 of Exhibit___(RN-1), the winter On-Peak energy charge would be approximately five times the winter Off-Peak energy charge; the summer Off-Peak energy charge would be approximately double the winter Off-Peak energy charge; and the summer On-Peak energy charge would be

approximately three times the summer Off-Peak energy charge.

Q. Please summarize the testimonial positions of AGREE Witness Lopez regarding heat pump rate design.

A. Witness Lopez discusses the importance of rate options that customers can understand and engage in, particular for heating electrification with air-source and ground-source heat pumps. In particular, on page 33 of his direct testimony, Witness Lopez endorses the two new heat pump rate design options recommended by EDF Witness Nelson.

Q. What is the Panel’s recommendations regarding the heat pump rate design requests proposed by AGREE and EDF?

A. This individual utility rate proceeding is not the right venue where the issue of whether to implement new rate design options for customers that install heat pumps should be considered.

Q. What is the proceeding the Commission indicated it wants to consider new forms of rate design options for customers that adopt heat pumps?

A. In its April 18, 2024 Order Instituting Proceeding in Case 24-E-0165, the Commission clearly states that new rate design and compensation mechanisms would be considered as part of the Grid of the Future Proceeding. The Commission directed Department Staff to file a Grid of the Future Plan by December 31, 2025 for its consideration. On pages 16-17 of that Order, the Commission required that "the plan must identify the potential for customer savings and benefits through improved, more economically efficient, and more customer-friendly price-signals sent to utility customers through the rates and charges on utility bills." More specifically, on page 17 of the Order, the Commission states "[t]he [Grid of the Future] Plan should identify whether additional rate options providing strong time-varying price-signals beyond those already available to customers should be implemented, such as a rate option which may be attractive for customers that install beneficial electrification technologies including ground-source and air-source heat pumps."

EV CHARGING RATE DESIGN

Electrify America Recommendations

Q. Please summarize Electrify America Witness Shah's testimony regarding EV Charging rate design.

A. As shown on pages 3-4 of his direct testimony, Witness Shah recommends that the Commission limit the amount of revenue requirement allocated to customers participating in EV Charging rates, which we interpret to mean the forthcoming EV Phase-In Rates which the Commission directed Con Edison to implement as in its October 17, 2024 Order Implementing Electric Vehicle Charging Rates for Commercial Customers (EV Phase-In Rate Order) in Case 22-E-0236. Witness Shah recommends that "such allocation be deferred altogether until a future EV rate proceeding," which, in its response to DPS-1062, included in Exhibit___(SMIP-1R), Electrify America confirmed to mean a freeze on the EV Phase-In Rates to collect the amount of Revenue Requirement applicable to Rate Year 3 of the Company's current Rate Plan instead of any

updated revenue requirement set in the instant proceeding.

Q. What are the Panel's recommendations regarding Witness Shah's proposal?

A. We recommend that the Commission not approve Witness Shah's recommendation to freeze the EV Phase-In Rates at their current level while simultaneously updating the revenue requirement and base rates for other Con Edison delivery rate options.

Q. Why not?

A. There are two reasons. First, although Witness Shah does not phrase it this way, his request amounts to asking the Commission to go against its previous directives and design the EV Phase-In Rate to be revenue-neutral.

Q. What does revenue-neutral mean?

A. Revenue-neutral means that if all the customers in a service class were to participate in a particular rate design option – in this case, the EV Phase-In Rates – the combined revenue collected through those rates would match the amount of revenues collected under the standard rates for that class. If the Commission were to

freeze the EV Phase-In Rates at the present level, the revenues collected under the frozen EV Phase-In Rates would no longer match the revenues under updated standard rates if all customers within the service class were to participate and would thus no longer be revenue-neutral.

Q. Did the Commission require EV Phase-In Rates to be revenue-neutral relative to the standard rates of a service class?

A. Yes. On page 34 of the Order Establishing Framework for Alternatives to Traditional Demand-based Rates Structures (Demand Charge Alternatives Order) in Case 22-E-0236 (the Demand Charge Alternatives Proceeding), the Commission required Con Edison to develop EV Phase-In Rates to be "designed on a revenue-neutral basis to recover the full embedded costs for each applicable service class." The Commission later confirmed this requirement when it approved, with some modifications, the revenue-neutral EV Phase-In Rate proposals submitted by Con Edison, among other utilities, in its EV Phase-In Rate Order.

Q. What is the second reason?

A. Second, to the extent that the Commission is receptive to Witness Shah's request, such change would represent a major change in EV Phase-In Rate design policy. Such changes to statewide policy should be considered only in the context of the statewide Demand Charge Alternatives Proceeding, for the reasons we explained previously.

City Recommendations

Q. Please summarize City Witness Chait's testimony regarding EV Charging rate design.

A. On page 49 of her testimony, Witness Chait states that although the Company offers EV charging programs, specifically the Public Direct Current Fast Charging (DCFC) Demand Charge Rebate Program and Commercial Managed Charging Program, Level 2 curbside charging facilities either cannot participate in the programs or may not be conducive for program participation. On pages 49-51 of her direct testimony, Witness Chait notes that curbside chargers with two ports or more are likely to take electric service under Service Class 9,

which includes a demand charge, and imposition of such demand charge may make curbside charging facilities difficult to justify for private investors.

Q. What does the City propose?

A. On page 51 of her direct testimony, Witness Chait proposes that Con Edison analyze alternative rate structures supportive of curbside charging and propose an alternate rate structure as part of an "October 2025 filing." Alternately, Witness Chait recommends the Commission require Con Edison to analyze alternate rate structures supportive of curbside charging and submit a proposal for an alternate curbside charging rate structure within 45 days after the Commission adopts a new rate plan in these proceedings.

Q. Is the Company required to make a filing related to EV charging rates during October 2025?

A. No. The filing Con Edison is required to make pursuant to the EV Phase-In Rates Order would actually occur in mid-July 2025. The EV Phase-In Rates Order directs the Company to file tariff amendments implementing the EV Phase-In

Rates to become effective on or before October 17, 2025, on not less than 90 days' notice.

Q. Does the Panel agree with the City's claim that the Company does not offer rate structures supportive of curbside EV charging?

A. Not entirely. While the City's characterization is technically accurate of the present rate options available as of the time of this testimony, Witness Chait's testimony of regarding available rate options which will be available during the rate year does not reflect the planned implementation and availability of EV Phase-In Rates.

Q. When will the EV Phase-In Rates become available for customer to participate in?

A. On page 42 of the EV Phase-In Rate Order, the Commission directed Con Edison implement the EV Phase-In Rates no later than 12 months from the effective date of that Order – that is, no later than October 17, 2025. The EV Phase-In Rates will be available for customers to participate in by the beginning of the Rate Year.

Q. Will curbside charging customers be eligible to participate?

A. Yes, the EV Phase-In Rate as approved by the Commission applies to all commercial EV charging customers, provided they meet other eligibility criteria required in the Demand Charge Alternatives Order and approved in the EV Phase-In Rates Order.

Q. What are some examples of the eligibility criteria to participate in EV Phase-In Rates?

A. Customers must exceed minimum EV load as a proportion of total load thresholds and may not exceed maximum limitations on charger load factor.

Q. Do you agree with City Witness Chait's characterization that curbside charging facilities are not conducive for participation in Con Edison's Commercial Managed Charging Program (CMCP), also referred to by the Company as SmartCharge Commercial?

A. No. Although Witness Chait mentions that Federal Highway Authority (FHA) requirements linked to funding the City's curbside charging facilities requires a minimum of six kilowatts (kW) of charging capacity be available for charging services at any given time, as shown in

the City's response to DPS-1063, included in Exhibit___(SMIP-R1), the average charging capacity for curbside chargers installed subject to FHA requirements is approximately 7.2 kilowatts (kW). That is, although the City cannot throttle its curbside chargers to less than six kW, it could potentially throttle its charging speed down to six kW and participate in the CMCP by doing so. Further, in the City's response to DPS-1063, included in Exhibit___(SMIP-R1), it confirms that FHA rules do not prevent the curbside chargers from time-differentiated pricing – another managed charging strategy. Con Edison's CMCP also includes an incentive for customers to charge during off-peak periods, totally separate from the incentive to avoid charging during specified on-peak hours. In short, the City is not prevented from participating in the CMCP – it could participate through multiple strategies if it chooses to do so.

Q. Are all curbside charging facilities necessarily subject to the same FHA rules and requirements described by the City?

A. No. As shown in the City response to DPS-1064, included in Exhibit___(SMIP-1R), the curbside chargers installed by the City to date are subject to FHA requirements because the City used federal funding to support that project. Curbside charging implemented without federal funding would not have the same requirements.

Q. Does the Panel agree with Witness Chait's conclusion that an alternate rate structure for curbside charging is necessary?

A. No. Because curbside chargers are eligible to participate in the EV Phase-In Rates, subject to the same eligibility requirements as any other commercial EV charging customer; and because curbside charging facilities are also eligible to participate in the CMCP, if curbside charging station operators choose to do so, we recommend the Commission not direct Con Edison to file an alternate rate structure for curbside charging. Further, if, for the sake of argument, the Commission was to be receptive to establishing an alternate rate structure for curbside charging, it should not do so in this individual

utility rate proceeding, for the reasons described above.

Q. Where should the Commission establish an alternate rate structure for curbside charging, if it chooses to do so?

A. The Commission should utilize the Demand Charge Alternatives Proceeding to establish an alternate curbside charging rate structure, if it determines that such a structure is desirable.

Q. Does this complete your rebuttal testimony at this time?

A. Yes.